

What about a more nebulous concept like “admiration”? Deniz Anginer and Meir Statman examined the performance of companies on *Fortune Magazine’s* annual survey of “America’s Most Admired Companies” over the period 1983 to 2007.⁶⁰ *Fortune* has been publishing the results of annual surveys of company reputations since 1983. The survey published in March 2007 included 587 companies in 62 industries. Fortune asked more than 3,000 senior executives, directors, and securities analysts to rate the 10 largest companies in their own industries on 8 “attributes of reputation:” quality of management; quality of products or services; innovativeness; long-term investment value; financial soundness; ability to attract, develop, and keep talented people; responsibility to the community and the environment; and wise use of corporate assets. *Fortune’s* rating of a company is the average rating given on the eight attributes. Anginer and Statman constructed two portfolios using the *Fortune* ratings, each consisting of one half of the *Fortune* stocks. The “Admired” portfolio contained the stocks with the highest *Fortune* ratings and the “Spurned” portfolio contained stocks with the lowest ratings. Anginer and Statman found that spurned stocks outperformed admired stocks. Over the entire sample period, the spurned portfolio returned 18.3 percent each year on average, while the admired portfolio could manage only 16.3 percent per year. Not only was admiration associated with underperformance, but, strikingly, increases in admiration resulted in lower returns. For example, stocks in the most spurned quartile for which reputation decreased returned 18.8 percent per year on average, while those whose reputation increased returned only 13.2 percent per year. Why might this be so? As we saw in an earlier chapter, Kahneman and Tversky found that a favorable view of a company’s products leads us to draw favorable conclusions about its stock. It’s possible that admiration is another proxy for a favorable view of a company, and Anginer and Statman have simply identified another aspect of this phenomenon. Whatever the cause, it seems admired companies tend to be bid up like glamour stocks, and spurned companies ignored like value stocks, creating the opportunity for a contrarian bet.

Another study examined the performance of stocks assigned ratings by *Standard and Poor’s Ratings Services*, the 150-year old indexer and ratings agency.⁶¹ Standard and Poor’s examines financial metrics like profitability and financial leverage to rank stocks from A+ to D, where A+ is the best ranking a stock can receive and D the worst. Figure 7.3 shows the annual returns earned by each rating “bucket” over the period 1986 to 1994.

As you’d likely expect by now, Figure 7.3 demonstrates that the lowest-rated stocks earned the highest returns, and the highest-rated stocks had the lowest returns. Aswath Damodaran, a professor of finance at New York University Stern School of Business and an expert in valuation, notes in